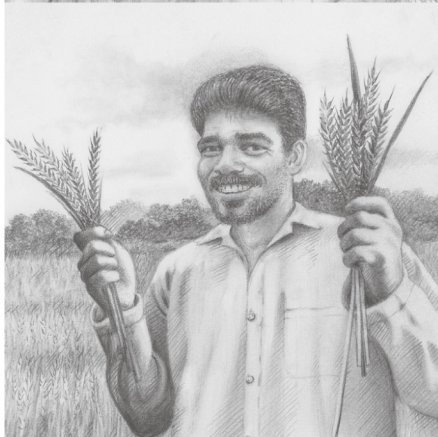




AGENTS OF PROSPERITY



**INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30TH JUNE 2021**

Consolidated Statement of Profit or Loss and Other Comprehensive Income

(Rs.Mns)	Three months ended 30th June		Change	Year ended
	2021	2020		31st March 2021
	Un Audited	Un Audited		Audited
Continuing operations				
Revenue	729.11	573.52	27%	3,611.15
Cost of sales	(511.50)	(344.70)	-48%	(2,606.94)
Gross profit	217.61	228.82	-5%	1,004.21
Other income	8.31	3.65	128%	25.51
Distribution expenses	(24.47)	(17.06)	-43%	(128.73)
Administration expenses	(81.65)	(61.18)	-33%	(289.66)
Other expenses	-	-	0%	-
Net finance income/(costs)	(35.05)	(45.94)	24%	(34.88)
Profit/(loss) before tax	84.75	108.29	-22%	576.45
Income tax expense (charge)/reversal	(15.42)	(22.47)	31%	(84.08)
Profit/(loss) from continuing operations	69.33	85.82	-19%	492.37
Discontinued operations				
Profit/(loss) from discontinued operations (net of tax)	0.04	(0.04)	200%	(17.24)
Profit/(loss) for the period	69.37	85.78	-19%	475.13
Other comprehensive income:				
Items that will never be reclassified to profit or loss				
Revaluation gain on property, plant and equipment	-	-	0%	89.79
Deferred tax impact on revaluation of assets	-	-	0%	54.74
Actuarial loss on defined benefit obligations	-	-	0%	0.58
Deferred tax impact on actuarial loss	-	-	0%	(0.11)
Other comprehensive income, net of tax	-	-	0%	145.00
Total comprehensive income	69.37	85.78	-19%	620.13
Profit attributable to :				
Owners of the parent	72.69	85.78	-15%	476.26
Non-controlling interests	(3.32)	-	-100%	(1.13)
	69.37	85.78	-19%	475.13
Total comprehensive income attributable to :				
Owners of the parent	72.69	85.78	-15%	621.26
Non-controlling interests	(3.32)	-	-100%	(1.13)
	69.37	85.78	-19%	620.13
Basic earnings/(loss) per share (Rs.)	0.22	0.26	-15%	1.47

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

Company Profit or Loss and Other Comprehensive Income

(Rs.Mns)	Three months ended 30th June			Year ended
	2021	2020	Change	31st March
	Un Audited	Un Audited		Audited
Revenue	367.42	360.61	2%	2,894.57
Cost of sales	(289.46)	(213.69)	-35%	(2,141.37)
Gross profit	77.96	146.92	-47%	753.20
Other income	10.28	3.48	195%	89.57
Distribution expenses	(19.74)	(13.08)	-51%	(88.14)
Administration expenses	(54.77)	(46.76)	-17%	(216.25)
Other expenses	-	-	0%	(7.80)
Net finance income/(costs)	(34.73)	(45.13)	23%	(27.06)
Profit/(loss) before tax	(21.00)	45.43	-146%	503.52
Income tax expense (charge)/reversal	2.64	(13.43)	120%	(48.27)
Profit/(loss) for the period	(18.36)	32.00	-157%	455.25
Other comprehensive income:				
Items that will never be reclassified to profit or loss				
Revaluation gain on property, plant and equipment	-	-	0%	77.34
Deferred tax impact on revaluation of assets	-	-	0%	56.98
Actuarial loss on defined benefit obligations	-	-	0%	0.59
Deferred tax impact on actuarial loss	-	-	0%	(0.11)
Other comprehensive income, net of tax	-	-	0%	134.80
Total comprehensive income	(18.36)	32.00	-157%	590.05
Profit attributable to :				
Owners of the parent	(18.36)	32.00	-157%	455.25
Non-controlling interests	-	-		-
	(18.36)	32.00	-157%	455.25
Total comprehensive income attributable to :				
Owners of the parent	(18.36)	32.00	-157%	590.05
Non-controlling interests	-	-		-
	(18.36)	32.00	-157%	590.05
Basic earnings/(loss) per share (Rs.)	(0.06)	0.10	-157%	1.40

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

AgStar PLC
Statements of Financial Position



	Group			Company		
	As at 30/06/2021	As at 30/06/2020	As at 31/03/2021	As at 30/06/2021	As at 30/06/2020	As at 31/03/2021
(Rs.Mns)	Un Audited	Un Audited	Audited	Un Audited	Un Audited	Audited
ASSETS						
Non-current assets						
Property, plant and equipment	2,445.41	1,699.30	2,403.08	2,186.19	434.99	2,142.65
Right of use asset	6.99	5.19	7.18	1.81	1.87	1.83
Intangible assets and goodwill	111.73	62.06	111.34	4.99	0.39	4.59
Investment property	-	-	-	165.33	-	165.33
Investments in subsidiaries	-	-	-	184.78	491.58	184.78
Deferred tax assets	8.49	13.67	8.43	-	-	-
	<u>2,572.62</u>	<u>1,780.22</u>	<u>2,530.03</u>	<u>2,543.10</u>	<u>928.83</u>	<u>2,499.18</u>
Current assets						
Inventories	644.95	331.72	892.59	329.10	179.25	379.49
Trade and other receivables	4,576.01	3,681.37	4,416.58	4,287.61	3,432.27	4,252.35
Amount due from related companies	-	-	-	388.91	573.88	456.98
Current tax receivable	1.69	7.58	1.69	1.69	7.58	1.69
Cash and cash equivalents	689.44	100.22	428.14	565.59	65.29	343.91
	<u>5,912.09</u>	<u>4,120.89</u>	<u>5,739.00</u>	<u>5,572.90</u>	<u>4,258.27</u>	<u>5,434.42</u>
Assets classified as held for sale	180.65	511.25	180.74	-	260.83	-
Total current assets	<u>6,092.74</u>	<u>4,632.14</u>	<u>5,919.74</u>	<u>5,572.90</u>	<u>4,519.10</u>	<u>5,434.42</u>
Total assets	<u>8,665.36</u>	<u>6,412.36</u>	<u>8,449.77</u>	<u>8,116.00</u>	<u>5,447.93</u>	<u>7,933.60</u>
EQUITY AND LIABILITIES						
Equity						
Stated capital	1,204.09	1,204.09	1,204.09	1,204.09	1,204.09	1,204.09
Revaluation reserve	818.98	674.45	818.98	331.03	196.71	331.03
Retained earnings	1,695.54	1,231.89	1,622.85	2,071.80	1,155.80	2,090.16
Equity attributable to owners of the parent	<u>3,718.61</u>	<u>3,110.43</u>	<u>3,645.92</u>	<u>3,606.92</u>	<u>2,556.60</u>	<u>3,625.28</u>
Non-controlling interests	39.38	-	42.70	-	-	-
Total equity	<u>3,757.99</u>	<u>3,110.43</u>	<u>3,688.62</u>	<u>3,606.92</u>	<u>2,556.60</u>	<u>3,625.28</u>
Non-current liabilities						
Employee benefits	33.77	28.92	33.85	33.72	28.78	33.80
Deferred tax liabilities	343.85	358.78	346.43	309.57	133.96	312.21
Deferred income	0.28	1.78	0.66	0.28	1.78	0.66
Loans and borrowings	351.92	-	3.96	340.00	-	-
Lease liability	6.26	4.06	6.60	1.81	2.01	1.98
	<u>736.08</u>	<u>393.54</u>	<u>391.50</u>	<u>685.38</u>	<u>166.53</u>	<u>348.65</u>
Current liabilities						
Trade and other payables	3,347.19	1,537.07	3,563.52	2,995.02	1,384.27	3,265.03
Loans and borrowings	789.78	1,354.83	771.45	789.78	1,339.23	692.82
Lease liability	0.57	0.43	0.08	0.26	0.03	0.02
Amount due to related companies	-	-	-	31.73	-	-
Current tax liabilities	25.78	14.33	10.01	-	-	-
Bank overdrafts	7.61	1.27	24.10	6.91	1.27	1.80
	<u>4,170.93</u>	<u>2,907.93</u>	<u>4,369.16</u>	<u>3,823.70</u>	<u>2,724.80</u>	<u>3,959.67</u>
Liabilities classified as held for sale	0.36	0.46	0.49	-	-	-
Total current liabilities	<u>4,171.29</u>	<u>2,908.39</u>	<u>4,369.65</u>	<u>3,823.70</u>	<u>2,724.80</u>	<u>3,959.67</u>
Total liabilities	<u>4,907.37</u>	<u>3,301.93</u>	<u>4,761.15</u>	<u>4,509.08</u>	<u>2,891.33</u>	<u>4,308.32</u>
Total equity and liabilities	<u>8,665.36</u>	<u>6,412.36</u>	<u>8,449.77</u>	<u>8,116.00</u>	<u>5,447.93</u>	<u>7,933.60</u>
Net assets per share (Rs.)	11.44	9.57	11.22	11.10	7.87	11.15

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

I certify that these financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.

Sgd.

M R M Rizny
Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Signed for and on behalf of the Board;

Sgd.

D N N Lokuge
Chairman

Sgd.

A P Weerasekera
Managing Director

August 12, 2021

Statement of Changes in Equity

(Rs.Mns)

	Group					
	Equity attributable to owners of the parent				Non-controlling interests	Total equity
	Stated capital	Revaluation reserve	Retained earnings	Total		
Balance as at 1st April 2020	1,204.09	674.45	1,146.11	3,024.65	-	3,024.65
Profit for the year	-	-	85.78	85.78	-	85.78
Other comprehensive income for the year	-	-	-	-	-	-
Total comprehensive income for the year	-	-	85.78	85.78	-	85.78
Dividend	-	-	-	-	-	-
Balance as at 30th June 2020	1,204.09	674.45	1,231.89	3,110.43	-	3,110.43
Balance as at 1st April 2021	1,204.09	818.98	1,622.85	3,645.92	42.70	3,688.62
Profit for the year	-	-	72.69	72.69	(3.32)	69.37
Other comprehensive income for the year	-	-	-	-	-	-
Total comprehensive income for the year	-	-	72.69	72.69	(3.32)	69.37
Dividend	-	-	-	-	-	-
Balance as at 30th June 2021	1,204.09	818.98	1,695.54	3,718.61	39.38	3,757.99

	Company			
	Stated capital	Revaluation reserve	Retained earnings	Total equity
Balance as at 1st April 2020	1,204.09	196.71	1,123.80	2,524.60
Profit for the year	-	-	32.00	32.00
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	32.00	32.00
Dividend	-	-	-	-
Balance as at 30th June 2020	1,204.09	196.71	1,155.80	2,556.60
Balance as at 1st April 2021	1,204.09	331.03	2,090.16	3,625.28
Profit for the year	-	-	(18.36)	(18.36)
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	(18.36)	(18.36)
Dividend	-	-	-	-
Balance as at 30th June 2021	1,204.09	331.03	2,071.80	3,606.92

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

AgStar PLC
Statement of Cashflows



For the period ended 31st March, (Rs.Mns)	Group		Company	
	2021	2020	2021	2020
	Un Audited	Un Audited	Un Audited	Un Audited
Cash flow from operating activities				
Profit before tax from continuing operations	84.75	108.29	(21.00)	45.43
Profit/(loss) before tax from discontinued operations	0.04	(0.04)	-	-
Adjustment for:				
Depreciation	17.38	11.84	13.88	7.76
Amortization on intangible assets	0.36	0.35	0.35	0.03
Amortization on right-of-use asset	0.20	0.28	0.01	0.01
Interest income	(1.27)	(1.26)	(0.51)	(1.00)
Interest expenses	24.54	30.25	22.94	29.67
Interest expenses on lease (ROU)	0.15	0.14	0.07	0.07
Amortisation of deferred income	(0.37)	(0.37)	(0.37)	(0.37)
Provision/(reversal) of impairment on trade receivables	(1.86)	(0.65)	(0.46)	0.13
Operating profit before working capital changes	123.92	148.83	14.91	81.73
Changes in:				
Decrease/ (increase) in inventories	247.64	30.96	50.38	27.99
Decrease/ (increase) in trade and other receivables	134.04	(130.83)	62.82	(20.55)
(Increase)/decrease in subsidy receivable	(291.23)	(337.88)	(97.40)	(337.88)
Decrease in amounts due from related companies	-	-	68.07	31.20
(Decrease)/ increase in trade and other payables	(216.48)	547.76	(270.00)	431.27
Increase/(decrease) in amounts due to related companies	-	-	31.73	-
Cash (used in)/ generated from operating activities	(2.11)	258.84	(139.49)	213.76
Interest expense paid	(24.54)	(0.91)	(22.94)	(0.91)
Income tax paid	(2.28)	(30.25)	-	(29.67)
Employee benefit paid	(0.08)	-	(0.08)	-
Net cash flow (used in)/ generated from operating activities	(29.01)	227.68	(162.51)	183.18
Cash flows from investing activities				
Interest income received	0.87	0.09	0.29	0.03
Acquisition of property, plant and equipment	(2.26)	(1.59)	(1.86)	(1.59)
Addition to work in progress	(57.45)	(58.67)	(55.56)	(42.38)
Acquisition of intangible assets	(0.75)	-	(0.75)	-
Net cash used in investing activities	(59.59)	(60.17)	(57.88)	(43.94)
Cash flows from financing activities				
Short term borrowings - net	337.35	(119.75)	340.00	(95.36)
Long term borrowings - net	28.95	-	96.96	-
Repayment of lease liabilities	-	(0.40)	-	(0.25)
Net cash from / (used in) financing activities	366.30	(120.15)	436.96	(95.61)
Net cash increase/(decrease) in cash and cash equivalents	277.70	47.36	216.57	43.63
Cash and cash equivalents at the beginning of the year	405.12	52.83	342.11	20.39
Cash and cash equivalents at 31st March	682.82	100.19	558.68	64.02
Analysis of cash and cash equivalent at the end of the period				
Cash at bank and in hand	626.00	43.14	520.74	24.75
Short term deposits	63.44	57.08	44.85	40.54
Bank overdrafts	(7.61)	(1.27)	(6.91)	(1.27)
Cash and cash equivalents classified as held for sale	0.99	1.24	-	-
	682.82	100.19	558.68	64.02

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

1 Basis of Preparation

The interim condensed financial statements have been prepared in compliance with Sri Lanka Accounting Standards LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2021.

The presentation and classification of the financial statements of the previous year have been amended, where relevant, for better presentation and to be comparable with those of the current year.

The interim condensed financial statements are presented in Sri Lankan Rupees and all values are in Millions, unless otherwise stated.

2 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorised under this.

Non-trading - This segment includes the items which are further processed before sold.

Rs. Mns	Period ended 30/06/2021			Period ended 30/06/2020		
	Trading	Non-trading	Total	Trading	Non-trading	Total
Revenue	398.14	330.97	729.11	177.31	396.21	573.52
Cost of sales	(281.14)	(230.36)	(511.50)	(123.37)	(221.33)	(344.70)
Gross profit			217.61			228.82
<i>Unallocated expenses</i>						
Distribution expenses			(24.47)			(17.06)
Administrative expenses			(81.65)			(61.18)
Other expenses			-			-
Other income			8.31			3.65
Operating profit			119.80			154.23
Net finance income/(cost)			(35.05)			(45.94)
Profit before tax			84.75			108.29
Tax expense			(15.42)			(22.47)
Profit for the period from continuing operations			69.33			85.82

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided in this report.

3 Stated Capital

		Number of shares	Value of ordinary shares Rs.
As at 30th June 2021	- voting	307,526,310	1,186,251,558
	- non-voting	17,473,690	17,842,120
		325,000,000	1,204,093,678
As at 30th June 2020	- voting	307,526,310	1,186,251,558
	- non-voting	17,473,690	17,842,120
		325,000,000	1,204,093,678

4 Events after the reporting date

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements.

5 Commitments

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below

AgStar PLC

The board has approved to construct an additional 83,000sq.ft. of warehousing space and 10,880 sq.ft new admin building in Ekala. The development costs of Rs. 383.9 Mn has been estimated and approved by the Board.

6 Contingent liabilities

There are no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

Corporate guarantee issued by AgStar PLC

The guarantees given to banks on behalf of AgStar Seeds (Pvt) Limited, AgStar Cropcare (Pvt) Limited, AgStar Grains (Pvt) Limited and Mahaweli Agro Trading (Pvt) Limited amounting to Rs.212 Mn, Rs.129 Mn, Rs.860 Mn and Rs.150 Mn respectively.

The guarantees given to local suppliers amounting to Rs.13.2 Mn.

7 Twenty Major Share holders -Voting shares

Name of shareholders	As at 30/06/2021		As at 31/03/2021	
	Number of shares	Holding %	Number of shares	Holding %
Sierra Holdings (Pvt) Ltd	97,514,400	31.71%	97,514,400	31.71%
Lanka Orix Leasing Company PLC	60,213,500	19.58%	60,213,500	19.58%
Browns Investments PLC	40,300,000	13.10%	40,520,061	13.18%
Sierra Construction (Pvt) Ltd	37,025,290	12.04%	37,025,290	12.04%
P & K Investments (Pvt) Ltd	20,500,000	6.67%	20,500,000	6.67%
Sampath Bank PLC/Dr.T.Senthilvel	10,627,982	3.46%	10,627,982	3.46%
Mr. N.G R.Karunaratne	8,229,310	2.68%	8,229,310	2.68%
Mr. A.P Weerasekera	7,327,800	2.38%	7,327,800	2.38%
FLMC Plantations (Pvt) Ltd	3,150,000	1.02%	3,150,000	1.02%
Mr. D.N.N Lokuge	3,125,000	1.02%	3,125,000	1.02%
Mr. W.A.P Perera	3,120,000	1.01%	3,120,000	1.01%
Mrs. A.C.P Irugalbandara -Joint with Mrs. J M A Irugalbandara	1,500,000	0.49%	1,500,000	0.49%
Mr. S Karunarathna	1,250,000	0.41%	1,250,000	0.41%
Mrs. G.S.M Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
Mrs. A.C.P Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
Mrs. S H Sardakhan	1,000,000	0.33%	499,000	0.16%
Sierra Engineering And Construction (Private) Limited	843,589	0.27%	843,589	0.27%
Mr. M.S.S Ghazaly	745,000	0.24%	745,000	0.24%
Mr. F N W Irugalbandara	599,453	0.19%	499,967	0.16%
Maskeliya Tea Exports (Pvt) Ltd	445,170	0.14%	-	0.00%
Total	299,516,494	97.40%	298,690,899	97.14%

8 Share holding -Non-voting shares

Name of shareholders	As at 30/06/2021		As at 31/03/2021	
	Number of shares	Holding %	Number of shares	Holding %
Sierra Holdings (Pvt) Ltd	11,648,140	66.66%	11,648,140	66.66%
Mr.A.P.Weerasekera	5,824,550	33.33%	5,824,550	33.33%
Mr.A.B.Weerasekera	1,000	0.01%	1,000	0.01%
	17,473,690	100.00%	17,473,690	100.00%

9 Directors' share holdings

		As at 30/06/2021	As at 31/03/2021
		Number of shares	Number of shares
Mr.D.N.N.Lokuge (Chairman)		3,125,000	3,125,000
Mr.A.P.Weerasekera (Managing Director)		7,327,800	7,295,800
	-Voting Shares		
	-Non-Voting Shares	5,824,550	5,824,550
Mr.W.A.P.Perera		3,120,000	3,120,000
Mr.D.S.K.Amarasekara		-	-
Ms.S.Wickramasinghe		-	-
Mr.R.K.A. Ranaweera		-	-
Dr. (Mrs) A.D.N. de Zoysa		-	-

10 Public holding

The percentage of public holding in voting and non-voting shares as at 30th June 2021 were,

	Public holding %	No of Shareholders
-Voting Shares	18.80%	1,235
-Non-Voting Shares	0.01%	1

The float adjusted market capitalisation as at 30th June 2021 is Rs. 440.15 Mn and minimum public holding requirement is compliant with option-2 as per Sec 7.13.1 (b) of the Listing Rule of CSE.

11 Market prices

	Rs.
Highest during the period	8.80
Lowest during the period	6.50
As at 30th June 2021	7.20

Market prices for the non-voting shares are not available since no trading occurred for the period

The Company

AgStar PLC

Legal Form

A public Quoted Company incorporated
in Sri Lanka on 25th June 2002

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC
09, Bawa Place, Colombo 08
Tel: +94 11 4812424, +94 11 7708040-3
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.lk

Board of Directors

Mr D.N.N.Lokuge
- Chairman/ Non Executive Director
Mr A.P.Weerasekera
- Managing Director
Mr D.S.K.Amarasekera
- Non Executive Director
Mr W.A.P.Perera
- Non Executive Director
Mr R.K.Athula Ranaweera
- Independent Non Executive Director
Dr (Mrs) A.D.N.de Zoysa
- Independent Non Executive Director
Ms S.Wickramasinghe
- Independent Non Executive Director

Audit Committee

Mr R.K.Athula Ranaweera (Chairman)
Dr (Mrs) A.D.N.de Zoysa
Ms S.Wickramasinghe

Remuneration Committee

Mr D.N.N.Lokuge (Chairman)
Mr R.K.Athula Ranaweera
Ms S.Wickramasinghe

Related Party Transactions Review Committee

Ms S.Wickramasinghe (Chairperson)
Dr (Mrs) A.D.N.de Zoysa
Mr R.K.Athula Ranaweera

Subsidiaries

AgStar Seeds (Pvt) Limited
AgStar Cropcare (Pvt) Limited
AgStar Grains (Pvt) Limited
Mahaweli Agro Trading (Pvt) Limited
AgStar Exports (Pvt) Limited
Prith Seeds (Pvt) Limited
Royal Seeds Pvt) Limited
Euro Asia Tea (Pvt) Limited

Secretaries

P R Secretarial Services (Pvt) Ltd
59, Gregory's Road, Colombo 07

Registrars

SSP Corporate Services (Private) Limited
101, Inner Flower Road, Colombo 03

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
Nation Trust Bank PLC
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC

Legal Consultants

Paul Ratnayake Associates
59, Gregory's Road, Colombo 07

Sudath Perera Associates
5, 9th Lane, Nawala Road, Nawala